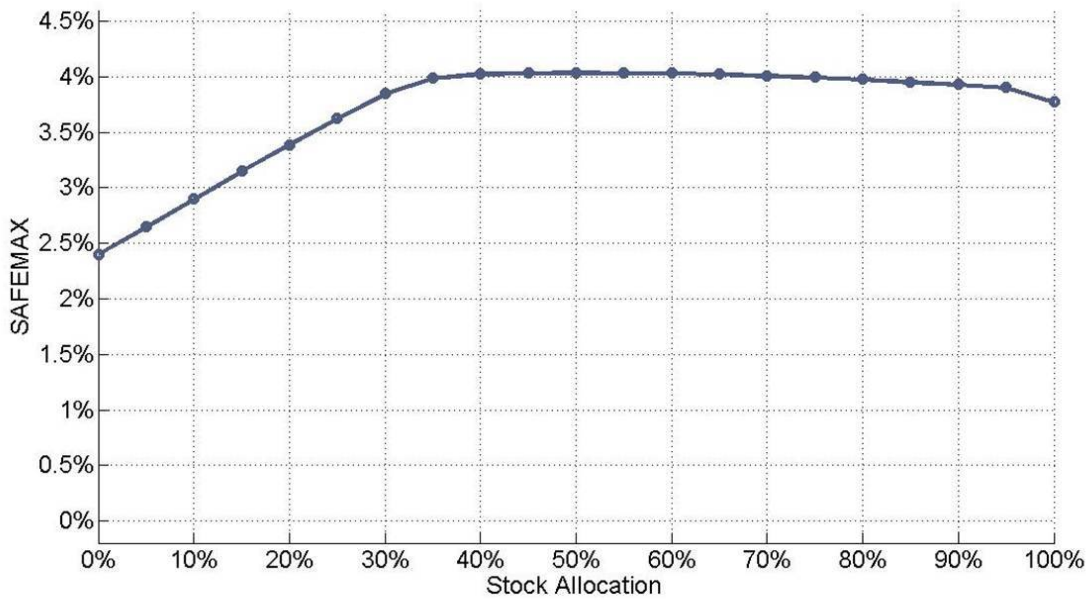

Why, then, did William Bengen recommend 50–75 percent stocks? The answer lies in Exhibit 4.4, which shows the median remaining inflation-adjusted real wealth after thirty years as a multiple of retirement date wealth when using a 4 percent withdrawal rate. In this exhibit, we can see a general upward trajectory in remaining wealth as the stock allocation increases. In the average case, retirees using at least 45 percent stocks would have found that the real inflation-adjusted value of their portfolio remained after thirty years. And with higher stock allocations, wealth tended to continue to grow in the median outcome. So while Exhibit 4.3 shows little in the way of downside spending risk with higher stock allocations, Exhibit 4.4 shows that there is plenty of upside potential available with higher stock allocations, which justifies Bengen's recommendation.

Exhibit 4.4

Connection between Median Remaining Real Wealth after 30 Years and Stock Allocation

For a 4% Withdrawal Rate, Inflation Adjustments

Using SBBI Data, 1926–2016, S&P 500 and Intermediate-Term Government Bonds